



BEARISH CANDLESTICK



THREE BLACK CROWS



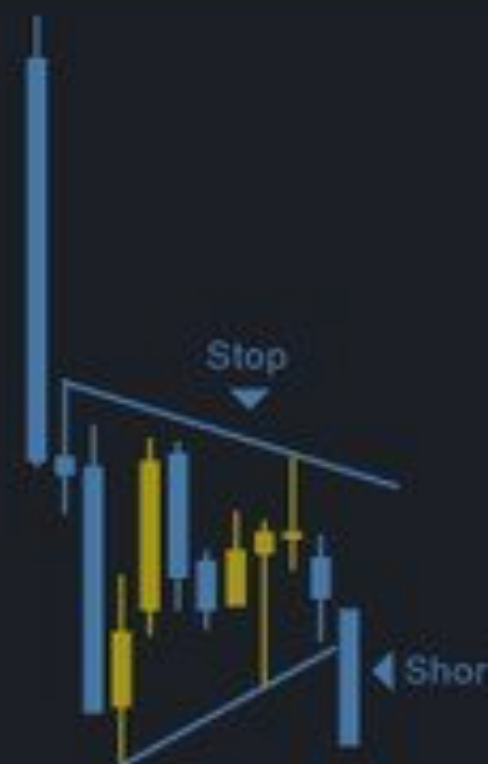
HANGING MAN



SHOOTING STAR



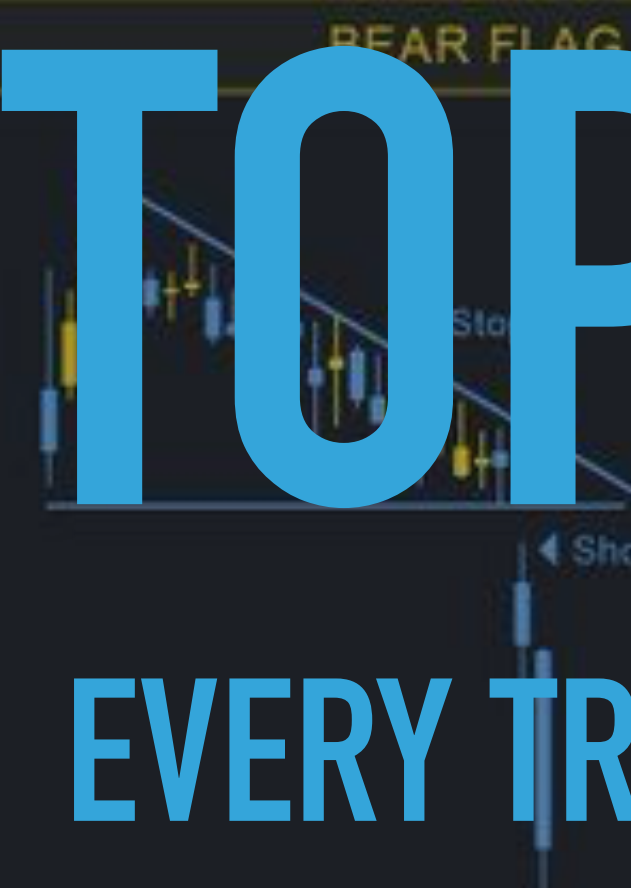
GRAVESTONE DOJI



ABHISHEK SINGH SOLANKI

TOP 10 CHART PATTERNS

EVERY TRADER SHOULD KNOW



DESCENDING TRIANGLE



INVERTED CUP AND HANDLE



DOUBLE TOP



TRIPLE TOP



HEAD AND SHOULDERS

A chart pattern is a shape within a price chart that helps to suggest what prices might do next, based on what they have done in the past. Chart patterns are basis of technical analysis and require a trader to know exactly what they are looking at, as well as what they are looking for.

BEST CHART PATTERNS

- ▶ Head and shoulders
- ▶ Double top
- ▶ Double bottom
- ▶ Rounding bottom
- ▶ Cup and handle
- ▶ Wedges
- ▶ Pennant or flags
- ▶ Ascending triangle
- ▶ Descending triangle
- ▶ Symmetrical triangle



TYPES OF CHART PATTERNS

Chart patterns fall broadly into three categories: continuation patterns, reversal patterns and bilateral patterns

- ▶ A continuation signals that an ongoing trend will continue.
- ▶ Reversal chart patterns indicate that a trend may be about to change direction.
- ▶ Bilateral chart patterns let traders know that the price could move either way - meaning the market is highly volatile.

Head and shoulders

Head and shoulders is a chart patterns in which a large peak has a slightly smaller peak on either side it. Traders look at head and shoulders patterns to predict a bullish-to-bearish reversal. And inverted head and shoulders patterns to predict a bearish-to-bullish reversal.

Head and shoulders



Inverted Head and shoulders



Double Top

A double top is another pattern that traders use to highlight trend reversals. Typically, an asset's price will experience a peak, before retracing back to a level of support. It will then climb up once more before reversing back more permanently against the prevailing trend.



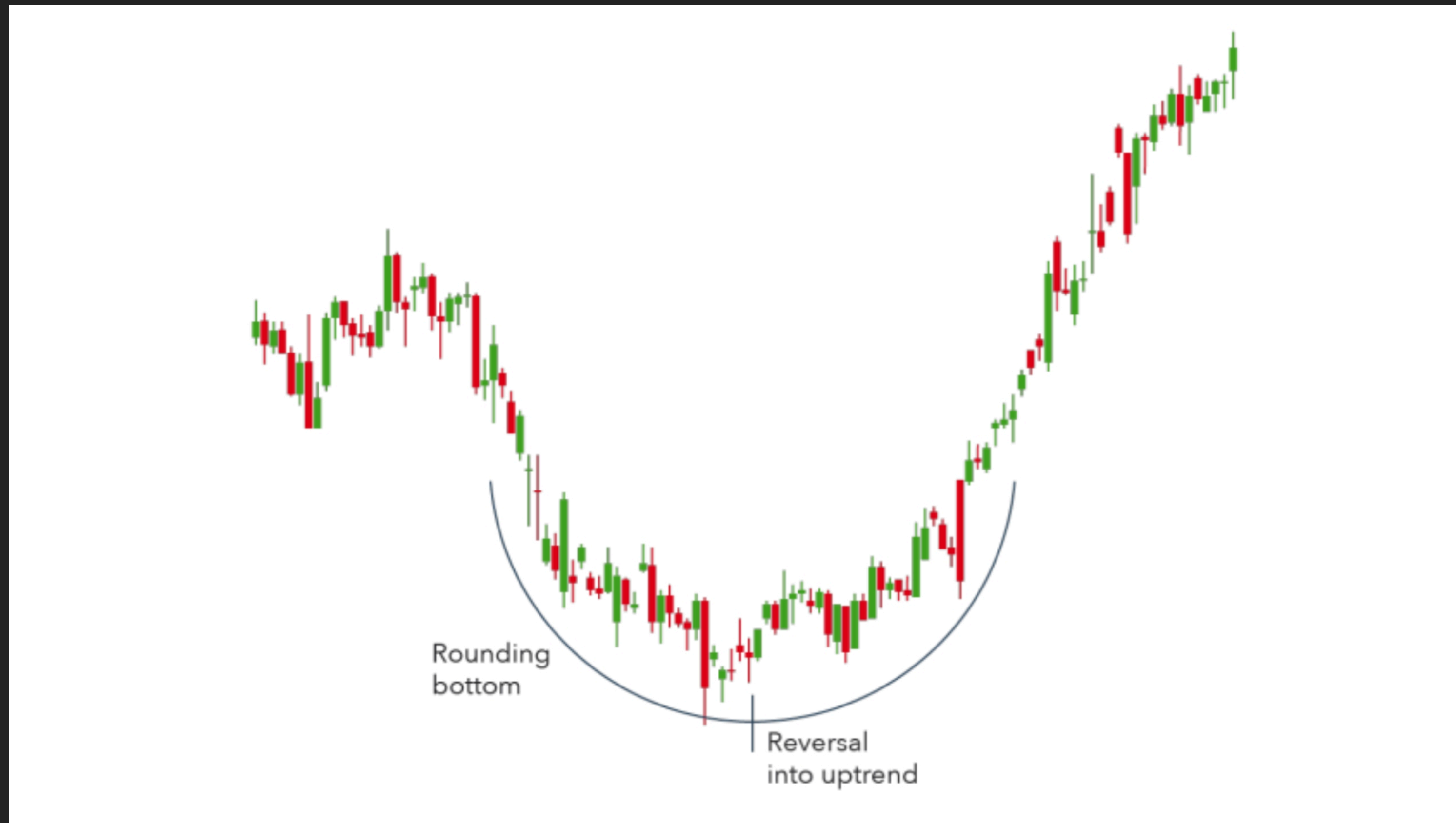
Double bottom

A double bottom is a bullish reversal pattern, because it signifies the end of a downtrend and a shift towards an uptrend.



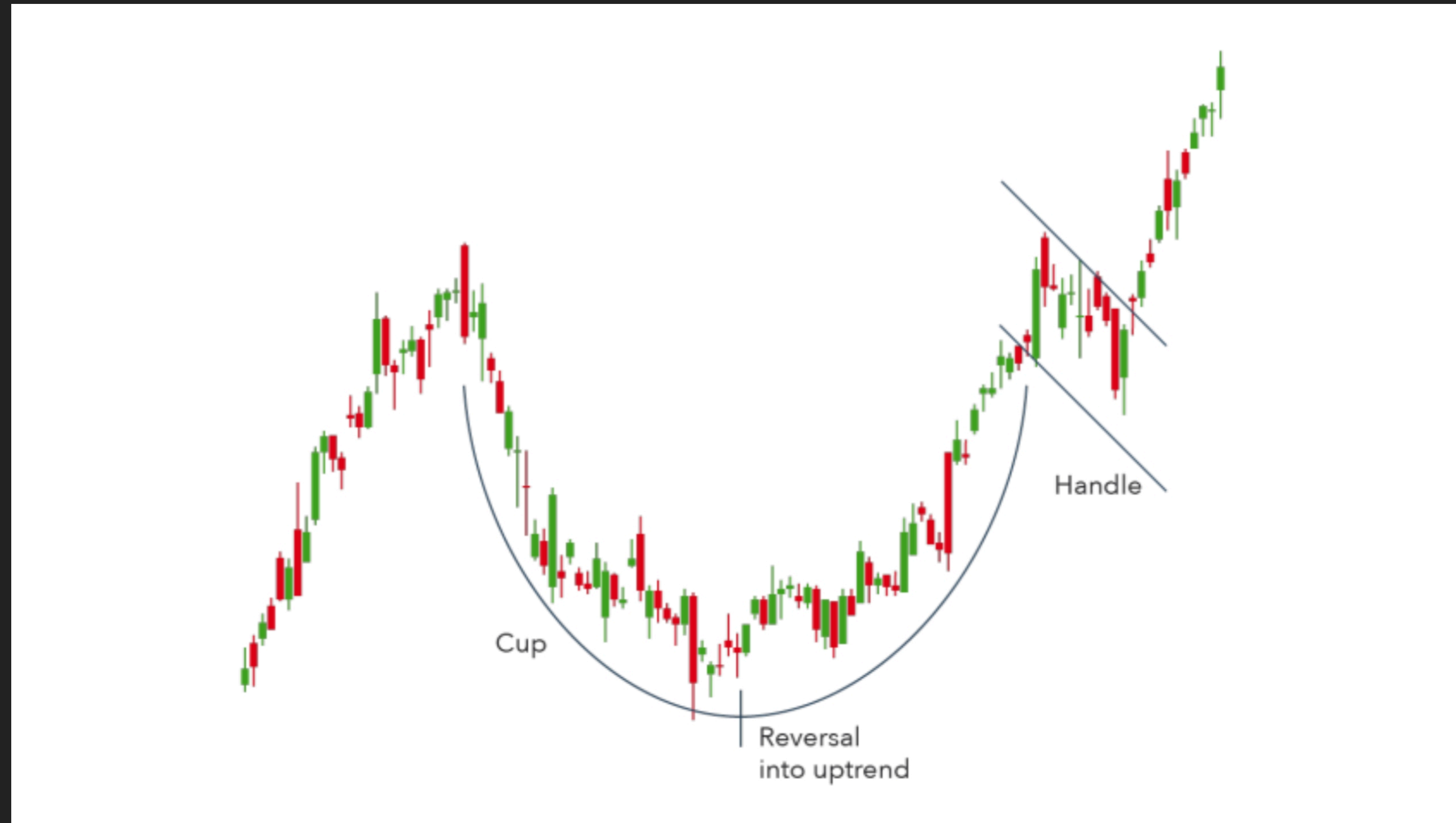
Rounding bottom

A rounding bottom chart pattern can signify a continuation or a reversal. For instance during an uptrend an asset's price may fall back slightly before rising once more. This would be a bullish continuation.



Cup and handle

The cup and handle pattern is a bullish continuation pattern that is used to show a period of bearish market sentiment before the overall trend finally continues in a bullish motion. The cup appears similar to a rounding bottom chart pattern, and the handle is similar to a wedge pattern - which is explained in the next section.



Wedges

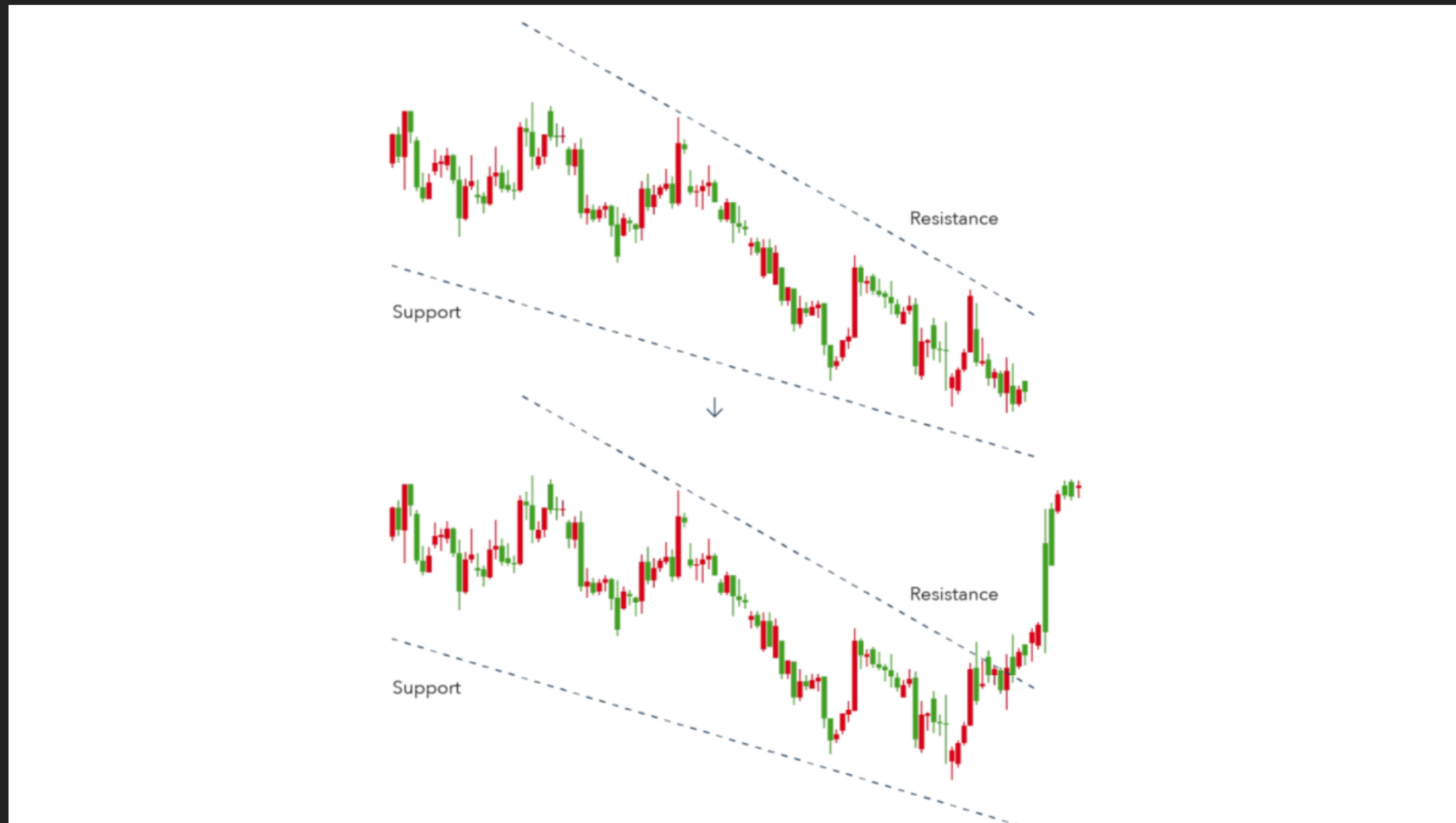
Rising wedge

A rising wedge is represented by a trend line caught between two upwardly slanted lines of support and resistance. In this case the line of support is steeper than the resistance line. This pattern generally signals that an asset's price will eventually decline more permanently - which is demonstrated when it breaks through the support level.



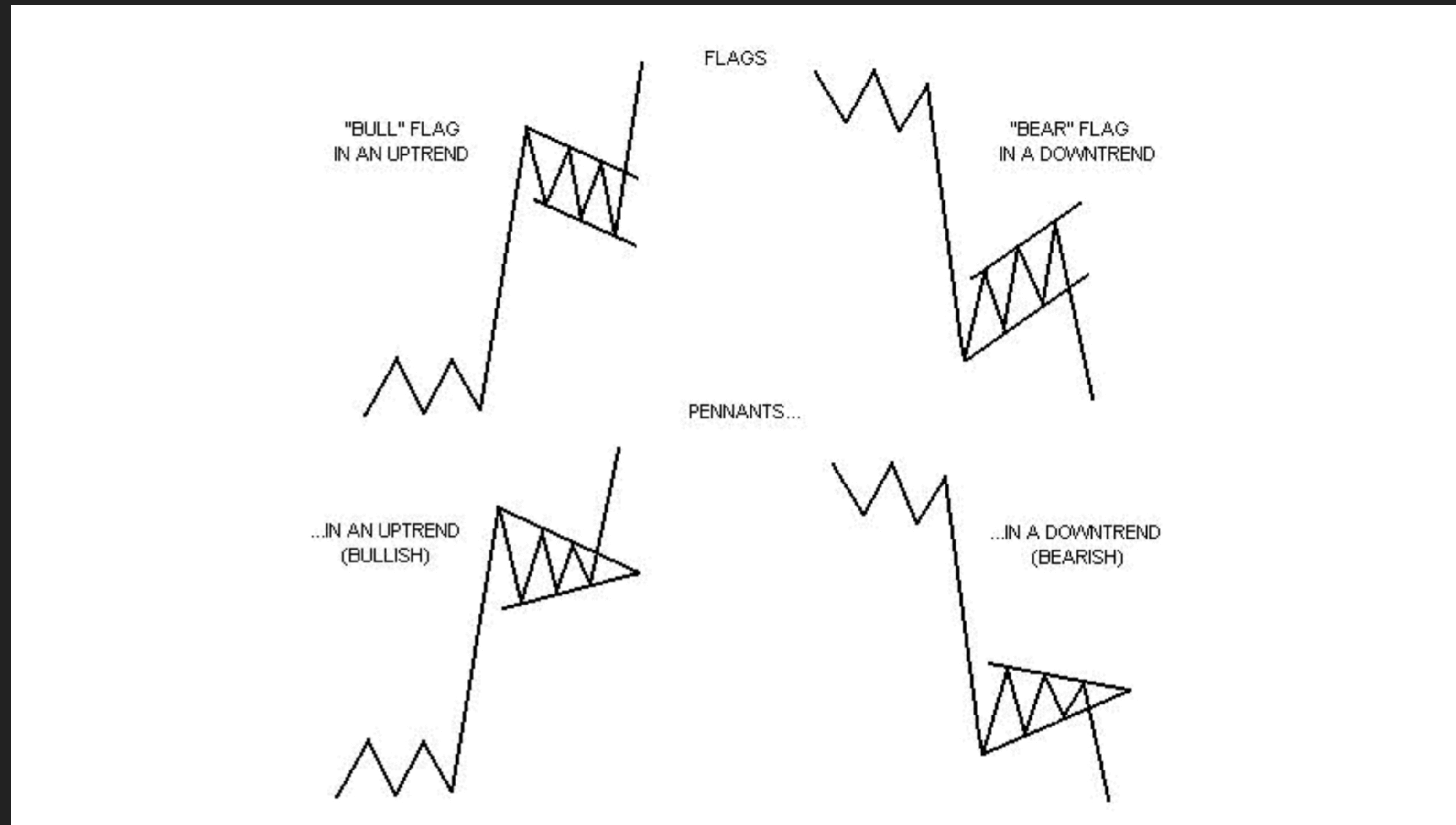
Falling wedge

A falling wedge occurs between two downwardly sloping levels. In this case the line of resistance is steeper than the support. A falling wedge is usually indicative that an asset's price will rise and break through the level of resistance, as shown in the example below.



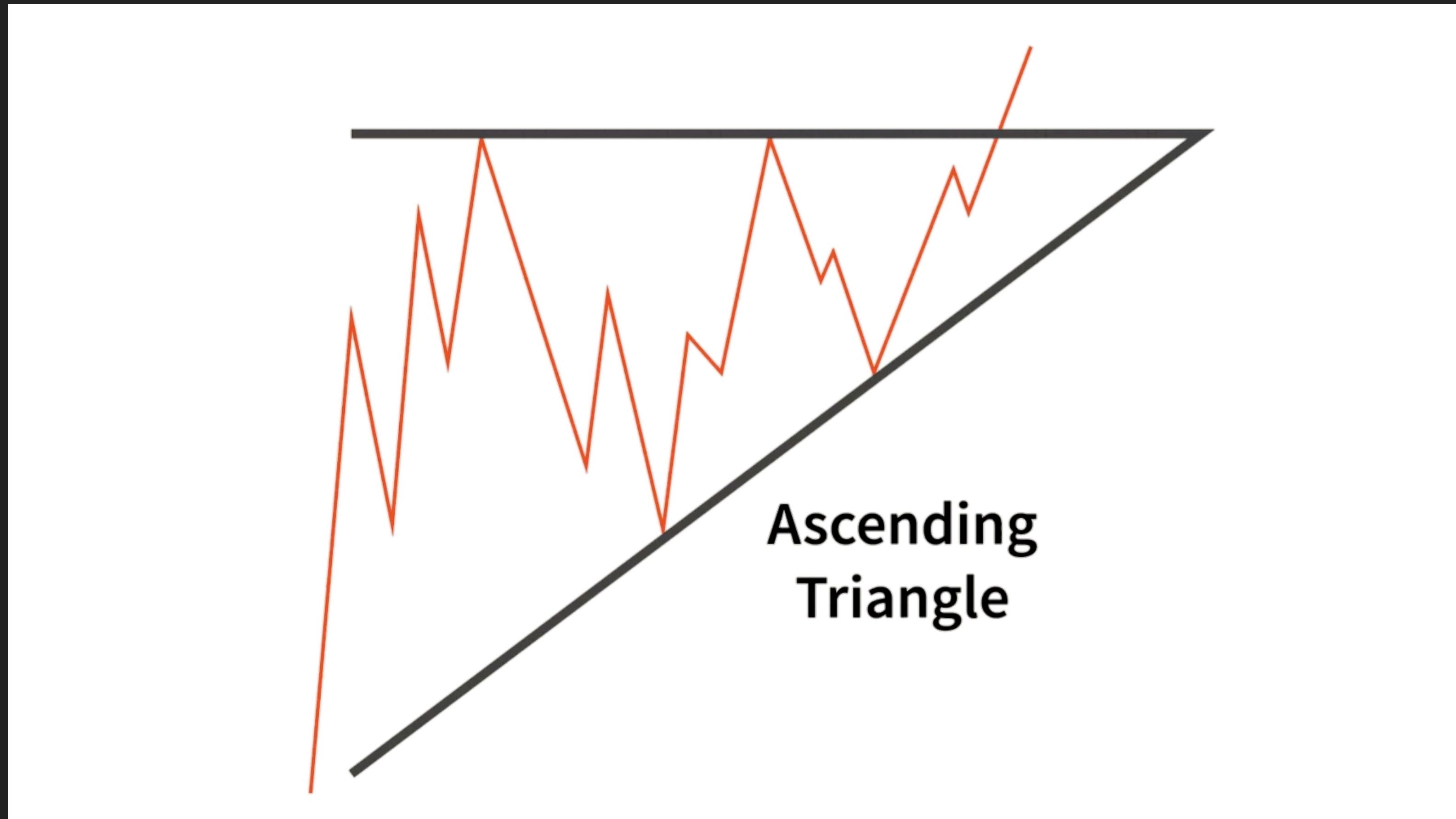
Pennant or flags

Pennant patterns or flags are created after an asset experiences a period of upward movement, followed by consolidation. Generally, there will be a significant increase during the early stages of the trend, before it enters into a series of smaller upward and downward movements.



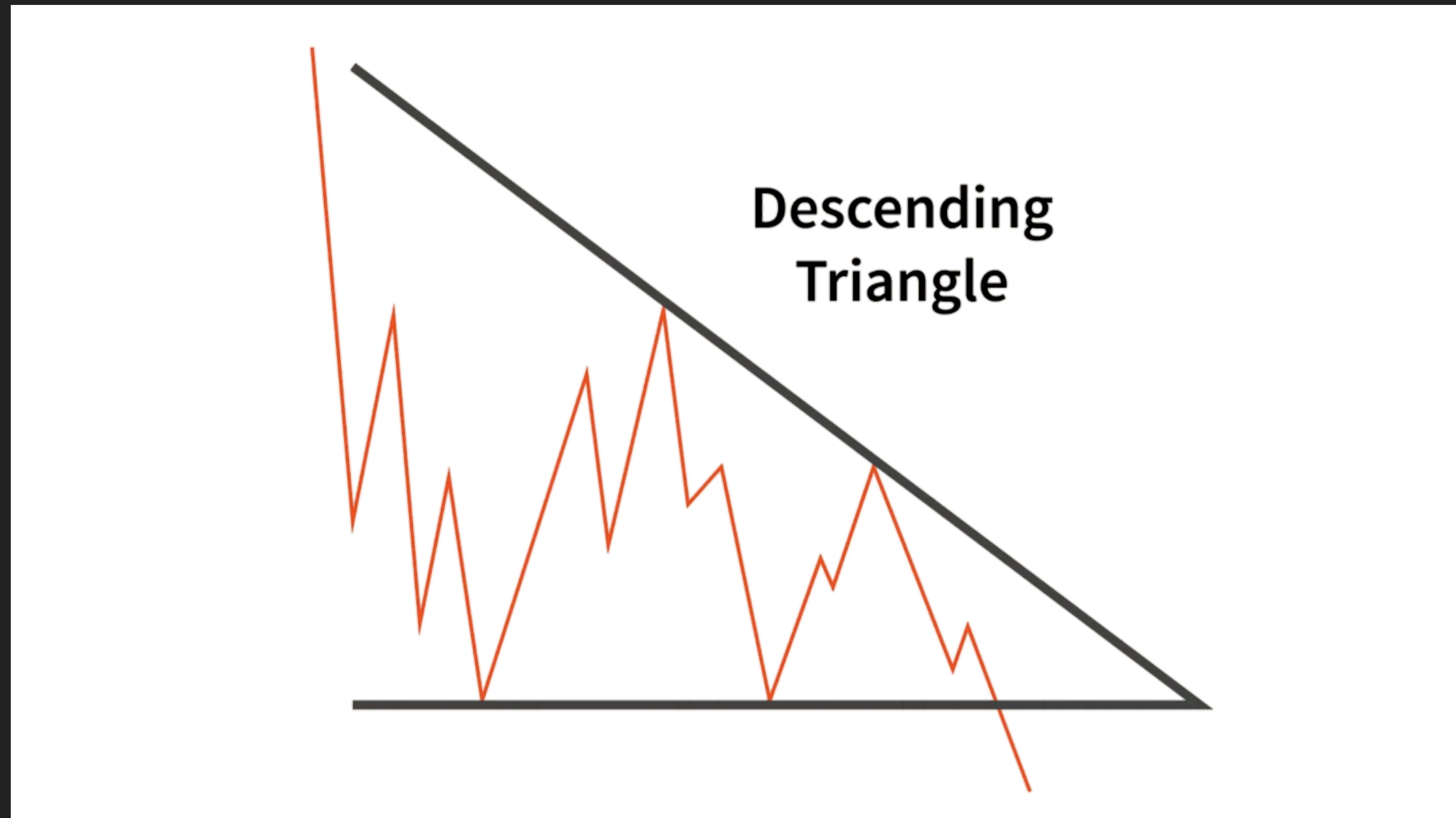
Ascending triangle

The ascending triangle is a bullish continuation pattern which signifies the continuation of an uptrend. Ascending triangles can be drawn onto charts by placing a horizontal line along the swing highs - the resistance - and the drawing an ascending trend line along the swing lows - the support.



Descending triangle

In contrast, a descending triangle signifies a bearish continuation of a downtrend. Typically, a trader will enter a short position during a descending triangle - possibly with CFDs - in an attempt to profit from a falling market.



Symmetrical triangle

The symmetrical triangle pattern can be either bullish or bearish, depending on the market. In either case, it is normally a continuation pattern, which means the market will usually continue in the same direction as the overall trend once the pattern has formed.

